

Darcio Genicolo-Martins
Paulo Furquim de Azevedo
Insper Institute of Education and Research
Rua Quatá, 300
São Paulo, SP 04546-042
Brazil
darciogm1@insper.edu.br

May 4, 2026

The Editors
Journal of Public Economics
Elsevier

Dear Editors,

We are pleased to submit “*Bitter Pills: Sourcing under Compressed Timelines and the Cost of Compliance in Brazilian Public Health Procurement*” for consideration as a **Short Paper** in the *Journal of Public Economics*.

What the paper does. We use bid-level administrative data on 479,330 pharmaceutical purchases by the São Paulo State Department of Health over 2009–2019 to ask how court-mandated procurement raises costs. Within the same item, urgent purchases carry negotiated prices 5.4% higher and attract -5.4% fewer bidders than ordinary purchases, yet succeed 2.1 pp more often. Within urgent purchases, an institutional contrast unique to São Paulo since 2009—a parallel administrative-request channel that shares all planning constraints but carries no penalty for officials when delivery fails—offers an “under the gun” (UTG) comparison. The naive UTG gap is large but contaminated by selection: the SES/SP scientific committee admits cases on cost-effectiveness criteria. Manski-Lee bounds put the selection-corrected UTG at [15.9%, 21.1%].

The conceptual contribution. The economically interesting finding is what produces the gap. Within firm-buyer-item triples observed under both regimes, the same firm sells the same item to the same buyer at essentially the same per-unit price (0.035, SE 0.041, NULL). *There is no within-firm markup.* The standard accountability-distortion intuition—that sanction-exposed officials face higher per-unit prices because suppliers extract a premium for delivery risk—is empirically absent in our setting. The UTG cost margin operates through demand fragmentation (admin orders are larger, so the bulk-discount technology mechanically pulls admin prices below lit) and through equilibrium changes in *which* firm wins the contract. Accountability-driven sourcing constraints, not price discrimination, are what make compliance expensive. We see this distinction—between sourcing-channel and pricing-channel mechanisms of accountability-induced inefficiency—as the paper’s main contribution.

Identification discipline. The within-item, within-buyer FE design identifies the urgent-vs-ordinary premium. The Lee bound and a Heckman parametric correction discipline the UTG comparison; the Heckman is reported as a sensitivity diagnostic that flags identification fragility (the inverse Mills ratio is collinear with the second-stage FE), not as a competing point estimate. Wild cluster bootstrap inference on the preferred FE confirms the result ($p_{\text{boot}} = 0.0080$). A Borusyak-Jaravel-Spiess imputation event-study with a Rambachan-Roth honest sensitivity overlay is reported in the Appendix; we honor its boundaries in the main text. Items never

litigated (placebo) deliver economically and statistically zero coefficients.

Welfare and policy. Applied to the \$300 M of annual litigated spending in São Paulo with an admissibility-share calibration of 50.0%, the bounded UTG implies a per-unit-price cost of \$27.8 M per year, with the Lee-endpoint range delivering [\$23.9 M, \$31.7 M]. We report a single bounded figure rather than the stacked ranges common in the policy literature. The mechanism the paper isolates—sourcing under fragmentation, not pricing under sanctions—points to demand-aggregation reforms rather than contract-design changes deterring opportunistic markup. Brazil’s Lei 14.133/2021, which introduces framework agreements, sets up a natural test of this prediction in post-reform data.

JPubE fit. The paper sits at the intersection of procurement design (Bandiera et al. 2009; Bosio et al. 2022; Best, Hjort & Szakonyi 2023), judicial enforcement of public contracts (Coviello et al. 2018), and accountability-induced bureaucratic distortion (Prendergast 2007; Bandiera et al. 2021). The Short Paper track is the right venue: the body totals 5,965 words (under the 6,000-word cap), uses 5 main-text exhibits, and is self-contained.

Suggested associate editors. We respectfully suggest three associate editors with substantive fit: *Decarolis* (procurement design), *Best* (public-sector efficiency in developing economies), and *Mariniello/Spagnolo* (procurement under contractual incompleteness). We defer to editorial judgment.

Declarations. The work is original, has not been published elsewhere, and is not under consideration at any other journal. The authors report no conflicts of interest. Replication code and de-identified data files will be shared upon request, subject to confidentiality restrictions imposed by the São Paulo State Department of Health.

Sincerely,

Darcio Genicolo-Martins
Paulo Furquim de Azevedo
Insper Institute of Education and
Research
São Paulo, Brazil